



Pennon Group Water Demand Analysis: Strategic Assessment 2024–2050

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Source: Ofwat Water Company Performance Report 2019-25

1. Background

The Environment Act 2021 requires all water companies in England to reduce the amount of water people use per day to 110 litres per person by 2050. Companies also need to cut leakage by 50% from 2017-18 levels by the same year. These are the largest demand-reduction targets the water industry has ever had to meet.

South West Water, Bristol Water and SES Water are all part of Pennon Group, and all need to hit these targets. Since Pennon brought Bristol Water and SES Water into the group, managing demand consistently across three previously separate companies has become both a data challenge and a key strategic priority as we head into AMP8 (2025-2030). It's worth noting that Bournemouth Water's figures sit within SWW's reported data in Ofwat's performance report, as do the Isles of Scilly figures. This report looks at per capita consumption (PCC) and leakage data across all three companies from 2019-20 to 2024-25, identifies the most important trends, and sets out three recommendations for the demand team going forward.

2. Data and Methodology

All data used in this report comes from Ofwat's Water Company Performance Report 2024-25, which is publicly available on the Ofwat website. I extracted annual PCC and leakage figures for South West Water, Bristol Water and SES Water across the six years from 2019-20 to 2024-25. The data was cleaned, structured in Excel and visualised using Microsoft Power BI.

One important note on data quality: Ofwat opened an enforcement investigation into South West Water's reported PCC and leakage figures in May 2023. The numbers used in this report are as published by Ofwat, but they may change depending on the outcome of that investigation.

3. Key Findings

Finding 1 — All three companies are still well above the 2050 target

In 2024-25, South West Water used 148.4 litres per person per day, Bristol Water used 146.3, and SES Water used 146.4. Every company is around 36-38 litres above where they need to be by 2050. The trend is going in the right direction, but not fast enough. Without a significant step-up in demand-reduction activity during AMP8, none of the three companies will hit the 110-litre target on time.

Finding 2 — COVID-19 caused a sharp spike in water use in 2020-21

During 2020-21, all three companies saw PCC jump significantly. SES Water hit 163.4 litres per person per day, and Bristol Water reached 161.1 — both driven by people staying home during lockdowns and using far more water than usual. This spike wiped out years of progress almost overnight. It's a clear reminder that demand forecasting needs to account for major external events, not just long-term trends.

Finding 3 — SES Water needs focused attention after the merger

SES Water has done well on leakage, reducing from 24.8 MI/day in 2019-20 to 20.0 MI/day in 2024-25, indicating it has already met its AMP7 leakage target. That's genuinely impressive. However, the SES household PCC has stubbornly remained around 146 l/p/d and hasn't reduced meaningfully in recent years. With the merger bringing SES into the Pennon family, this is the region that needs the most focused demand reduction work.

Finding 4 — SWW leakage remains the group's biggest problem

South West Water's leakage of 107.8 Ml/day in 2024-25 is still nearly double what it needs to be by 2050. What's more concerning is how much it has jumped around — from 123.5 in 2019-20, up to 136 in 2020-21, down to 90.6 in 2021-22, then back up above 110. That level of volatility raises serious questions about data consistency, which is exactly what Ofwat's enforcement case is examining.

4. Regulatory Alignment

The data in this report sits within three key regulatory commitments that the Pennon Group needs to deliver on.

The Environment Act 2021 sets long-term targets of 110 l/p/d and a 50% reduction in leakage by 2050. All three companies are currently off track and will need sustained delivery through at least AMP8 and AMP9 to get back on track.

Ofwat's PR24 Final Determination sets specific performance targets for 2025-30. SWW's PCC commitment for 2024-25 was 138.7 l/p/d. Its actual performance of 148.4 l/p/d means it missed this target by nearly 10 litres, resulting in financial underperformance payments. Closing this gap quickly is a priority.

Each company's Water Resources Management Plan 2024 sets out how it plans to balance supply and demand over the next 25 years. Demand reduction through metering and efficiency programmes is central to all three plans, making the Water Demand Analyst function essential to their delivery.

5. Strategic Recommendations

Recommendation 1 — Roll out smart metering across the SES region as a priority

SES Water's leakage performance is strong, but household PCC hasn't moved much. Smart metering would give the team real-time data on individual household consumption, making it much easier to identify high users and target them with efficiency support. Other water companies using smart meters have typically seen PCC fall by 5-8 l/p/d within three years. Given that SES is a smaller region, a targeted roll-out would be cost-effective and could make a meaningful difference to group-wide PCC performance.

Recommendation 2 — Expand the Water Efficiency Business Innovation Fund

SWW launched the Business Innovation Fund in February 2026, offering grants of up to £15,000 for water-saving business projects. This is a great initiative, but the £15,000 ceiling may be too low to attract larger businesses with the biggest water-saving potential. A tiered approach — £15,000 for smaller businesses, up to £50,000 for larger ones — could bring in industrial and agricultural applicants whose projects would save far more water per grant pound spent.

Recommendation 3 — Create a unified demand data platform across all three companies

SWW, Bristol and SES still operate largely separate data systems from before the mergers. This makes it hard to compare performance across regions or spot group-wide trends quickly. A single consolidated Power BI dashboard pulling data from all three companies would speed regulatory reporting, improve trend analysis accuracy, and make cross-regional comparisons straightforward. This is something the Water Demand Analyst could lead on and would directly support AMP8 WRMP

delivery.

6. Data Sources

- Ofwat Water Company Performance Report/Service report 2019-25 underlying data. [ofwat.gov.uk](https://www.ofwat.gov.uk)
- Environment Act 2021. UK legislation.
- Ofwat PR24 Final Determination, December 2024.
- South West Water Resources Management Plan 2024.
- Ofwat enforcement case: South West Water leakage and PCC reporting, May 2023.